

States **GUJARAT**

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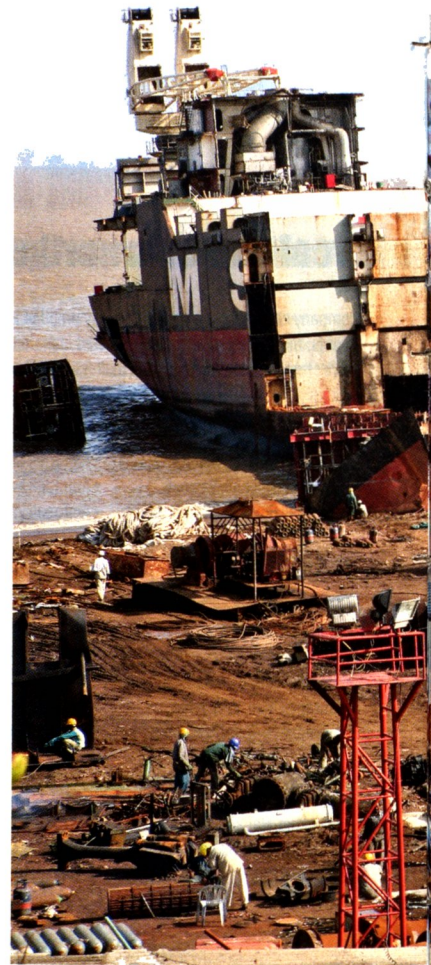
The global recession may have turned many millionaires into paupers, but for the ship-breakers at Alang, a coastal stretch near Bhavnagar in Gujarat, it's been like manna from heaven. This ship-breaking yard—the biggest and only full-fledged yard for dismantling worn-out ships in India—is a business hub that works on a unique reverse economic principle: A global economic recession means loads of work while a relatively stable world economy means few ships come to the yard for dismantling. This happens because brisk economic activity compels the shipping industry to flog

even their ageing ships, regardless of their condition.

The latest recession has meant good business for 150-odd ship-breaking firms and their 30,000-odd workers with ships in poor condition from all over the world—Asia, Europe, America and Africa—arriving here to be broken down for scrap. Vishnu Kumar Gupta, president of the Alang Ship Breakers' Association, says, "It is a unique industry. When the market crashes across the world, we laugh and when it smiles, we shed tears." The figures tell the story. In 2009-10, as many as 348 ships were broken here, almost matching the highest tally of 361 ships registered in 1999. Of the 100 steel-rolling mills in

Breaking On THROUGH

The global economic downturn revives the fortunes of the ship-breaking units at Alang, whose renewed buoyancy also helps other related industries thrive



**A SHIP IS DISMANTLED
USING OXYGEN AND LPG**

Bhavnagar district employing nearly 7,000 workers, 60 closed down around 2005. Not only have all the closed mills opened today but 15 new rolling mills are under construction. In Bhavnagar, the downslide that began in 2004 forced the closure of 50 of the 60 oxygen units there. Today all 50 stand revived and oxygen loading production is booming. Parts of the broken ships are often recycled to manufacture new ships, and this, in itself, is big business at Alang.

House and office products and other diverse stuff yielded by broken ships are proving to be a booming industry. Hundreds of outlets selling refrigerators and crockery have mushroomed in this port city. P.D. Vyas, the fire safety officer of the

Gujarat Maritime Board that oversees operations at Alang, says, "Being a lifeline to multiple businesses, Alang's poor health affects a string of businesses." No wonder then that for the workers of not just ship-breaking yard but a whole set of businesses here are dependent on the fortunes of this ship-breaking yard, cheer has returned to the lives of the workers. As the business started going down at Alang, the workers began to return to their native states like Bihar, Jharkhand, Orissa and West Bengal. Some took to petty businesses at Bhavnagar, choosing to become tea vendors and running small shops. "There has been a complete turnaround at Alang. Such is the buoyancy in the steel market that workers are